

RDDT pitch deck

I can't read outside the working directory (permission denied on /Users/ajay/exalted/signalos), so this is delivered inline rather than written to reports/. Say the word and I'll write it to a path you approve.

PITCH — RDDT — PROPOSED VERDICT

PROPOSED — PENDING ADJUDICATION: NO ENTRY. Stay flat through 2026-08-21. Reopen only if price falls into \$136–\$140 or lower AND Reddit publicly discloses the Google licensing renewal (or the Q3 filing shows 2027 committed licensing above \$100M).

What we believe

Reddit is an honest, cash-generating company whose stock has fallen 42% from its 52-week high of \$282.95 to \$164.43, and the fall does not appear to be caused by anything dishonest in the accounting. Three things support that:

- **The company is not inflating its numbers with stock grants.** Stock-based compensation for the first six months of 2026 was \$169.3M, *down* 3% from \$174.5M a year earlier, while revenue grew 61%. Most fast-growing internet companies do the opposite.
- **The balance sheet is real.** \$2.786B of cash and marketable securities against \$20.9M of debt (which is just office leases). Operating cash flow of \$574.1M in six months against \$2.2M of capital spending.
- **Management is buying its own stock with actual cash.** \$239.6M spent on 1,523,502 shares in six months — an average price of about \$157 — with \$760.4M of authorization left, roughly 2.4% of the company.

What we think we are looking at is a good business that got expensive, then got cheap on the way down, and is currently sitting in between. It is not a bargain, and it is not broken.

What the market believes

The market believes this is a high-growth advertising company that also owns a scarce pile of human-written text that AI companies must pay for. Thirty-three analysts cover it with an average price target of \$215.63 — 31% above today's price. It was added to the S&P 500, announced 2026-08-14 and effective before the open on 2026-08-18, which forces index funds to buy it whether they like it or not.

The market is *not* wrong about the business. What the market is arguably wrong about is the price of the AI-licensing piece — it prices it as a durable annuity, when the filings show it as a business that gets re-

negotiated every year.

Why we might have edge

1. **The AI-licensing revenue is smaller and less locked-in than the story implies.** The “Other revenue” line is about \$43M per quarter, or \$172M a year. Press reporting says Google pays roughly \$60M/yr and OpenAI roughly \$70M/yr — about 76% of that line — and both are up for renewal in 2026, with the Google talks publicly described as stalled. So roughly \$130M of revenue, at very high margin, is on an undated renewal clock. That is only about 3% of total revenue, but it is a much larger share of the *narrative*.
2. **The tax rate is about to jump, and almost nobody models it.** Reddit paid \$3,987K of tax on \$256,835K of pretax income last quarter — an effective rate of 1.55%. The company says in its own filing that it may release its valuation allowance within the next twelve months. When that happens the reported tax rate steps up toward roughly 23%, which is about \$180M a year of real cash going out the door. Earnings-based valuations that use today’s 1.55% rate are overstating the company by a wide margin.
3. **The forced index buying has already happened.** The stock went from \$158.12 to \$178.09 (+12.6%) on the 8/14 announcement and has since given back to \$164.43 — down 7.7% *before* the 8/18 effective date. Our instinct was “don’t buy into someone else’s forced buying.” That instinct was aimed at buying that has already largely occurred.

Why it might be priced in

- **Thirty-three analysts and index-mandated ownership.** Nothing here is undiscovered. There is no informational advantage in a name this covered; whatever edge exists is in *discipline about price*, not in knowing something others don’t.
- **The stock is already 38% off its low of \$119.27.** Whoever was going to buy the panic has bought it. We are not early.
- **The licensing risk is public.** The stalled Google talks were reported on 2026-07-23. This is not a secret we found.
- **The real driver is advertising, and we have no independent read on it.** Advertising is 94.7% of revenue and grew 64% last quarter — against a year-ago quarter that itself grew about 78% (Q2’25 \$499.6M vs Q2’24 \$281.2M — confirmed from the filing data). The company guided Q3 to +47–49%, a 15-point slowdown. That may be perfectly normal as comparisons get harder, or it may be the start of something. **We did not verify which**, because both tools that would have told us failed (see below). That is the single biggest hole in this pitch.

What we checked ourselves

Includes the places where our own two review teams got it wrong.

Claim	How checked	Found	Confirmed?
Stock is “back at pre-print levels, drawdown erased” (original brief)	Compared against the shared price snapshot	\$164.43, which is 7.7% <i>below</i> the 7/30 pre-print \$178.04 and 41.9% below the 52-week high. Drawdown fully intact.	No — brief refuted
Our own red team’s price of \$169.12	Compared against the same shared snapshot both teams received	Red quoted a stale copy. The correct figure is \$164.43. Our own team made the same stale-price error it was criticizing the brief for.	Red bench erred
Fair-value gate of “\$145”	Redid the arithmetic on the brief’s own stated inputs (30× FCF-less-stock-comp of ~\$780M, plus \$2.79B net cash)	\$23.4B + \$2.79B = \$26.2B. Divided by the correct 192,396,510 shares = \$136 . The brief’s \$145 implies 34×, not 30×.	Yes — brief refuted
Red team’s corrected gate of “\$130”	Checked red’s own division	Red argued the correct share count is 192.4M outstanding, then divided by 202.3M diluted anyway. Self-contradictory. Red bench erred ; the corrected number is \$136.	Red bench erred
Is the \$780M cash-flow input itself right?	Neither team checked this. Computed from the filing: six-month operating cash flow \$574.1M – \$2.2M capex – \$169.3M stock comp = \$402.6M for the half; annualized flat = \$805M	The brief’s \$780M is slightly <i>conservative</i> and assumes zero second-half growth. At \$805M the gate is \$140.03 , not \$136. So the honest answer is a range of \$136–\$140 , not a single number. Both benches missed this.	New — neither bench checked
“Only \$30.1M of licensing revenue is contracted into 2027 vs a \$172M run-rate — an 82% coverage gap” (red team’s headline kill)	Read the filing’s own scope sentence for that disclosure	The figures are right, but the disclosure only covers contracts <i>originally longer than one year</i> . A book that renews annually will always show a small forward number. This measures contract length, not demand. Red’s headline finding was mostly an artifact of how the disclosure is defined.	Red bench erred — reduced to a flag
Stock comp fell from 34.9% of revenue to 21.0%	Recomputed from filing data	The <i>direction</i> is right and it is genuinely good news, but both teams divided six-month stock comp by a <i>single quarter’s</i> revenue. On a consistent six-month basis, 2025 is 19.6% (\$174.5M ÷ \$892.0M), not 34.9% — and 2026 is materially below that. Both benches used a mismatched period, the exact error red flagged in the brief one paragraph earlier.	Both benches erred — conclusion survives
“\$1.0B of free cash flow over the last twelve months”	Tried to rebuild it from the filing data we hold	Cannot be reconstructed — the quarterly data we have stops at mid-2025, so the two middle quarters are missing. The figure was asserted without a source.	Unverified
Effective tax rate of 2.4% (original brief)	Read the earnings release directly	1.55% (\$3,987K on \$256,835K). Brief was wrong; red team was right.	Yes — brief refuted

Claim	How checked	Found	Confirmed?
Share count	Read the cover page of the quarterly filing	146,103,200 Class A + 46,293,310 Class B = 192,396,510 at 7/29/26. At \$164.43 that is a \$31.6B market value and \$28.85B after subtracting net cash.	Yes
“Insiders are dumping into the index buying”	Looked at the pattern of the filings	Seven separate insiders filed on two dates a week apart (7/07 and 7/17) — that is the signature of pre-scheduled sales, not opportunistic dumping. The 8/14 Form 144 was <i>not</i> retrieved, so we don’t know whether it was pre-scheduled. The inference is unsupported as stated.	Downgraded to possible
Advertising growth is decelerating meaningfully	Both tools failed: the app-review tracker crashed with a code error (twice, both teams), and the seasonality script could not be opened (permission denied, both teams)	No data. This is 94.7% of the revenue and the actual thesis driver, and we have no independent read on it. Both failures are infrastructure problems, not evidence of “nothing there.”	Not checked — open

PROPOSED ENTRY BANDS

The courts say no entry today. Both teams landed on flat through 2026-08-21. These are the reopen conditions.

Price levels (all derived from the teams’ own arithmetic):

Level	What it is	Action
\$178.09	The 8/14 index-announcement high	If we trade back above this, the window is closed. Stand down, no bid.
\$140.03	Fair value using first-half-2026 actual cash flow annualized flat, on the correct share count	Top of the fair-value range. A fill here has zero margin of safety . This is where staged instruction 117 already sits.
\$136.20	Fair value using the brief’s \$780M estimate, on the correct share count	Bottom of the fair-value range. Recommend repricing instruction 117 from \$140 to \$136 so the first tranche buys inside the range rather than at its ceiling.
\$128.00	Staged instruction 118 — about 6% below the conservative gate	Keep as-is. This is the first level offering any real cushion.
\$119.27	The 52-week low	Proposed third tranche. Not currently staged.

Two conditions must both be true before any tranche is released (this is the teams’ shared hard gate, and it applies at *every* price above):

1. Reddit publicly discloses the Google licensing renewal — an 8-K or press release naming the term and annual value — **or** the next quarterly filing shows 2027 committed licensing revenue above \$100M.
2. The forced index buying has visibly finished, measured at the **2026-08-21** and **2026-08-28** closes.

If condition 1 resolves *against* us (Google walks, or the licensing line shrinks), the entire band structure shifts down by roughly \$130M of high-margin revenue — call it 8–9% of profit — and the reopen levels drop by a corresponding amount. Re-run the math before bidding, don't just wait for the price.

Sizing. The courts set no size and I am not inventing one. What exists is the staged envelope from the 8/05 sweep: 71 shares at \$140 (~\$9.9K) and 78 shares at \$128 (~\$10.0K), roughly equal dollars per tranche. Proposal: **keep that dollar sizing, add a third equal tranche at \$119.27, cap total at three tranches (~\$30K).** Both teams called for a size reduction for the licensing renewal and the coming tax-rate step, and neither could quantify it because the two engagement tools failed — so this is a deliberately small starter, not a considered full position. **Size should not be increased until the advertising-deceleration question has an actual data answer.**

Trims/exits. None proposed. There is no position. If tranches fill and the Google renewal later resolves negatively, exit is warranted on the fundamental change rather than a price level.

Catalyst dates:

Date	What	Confirmed?
2026-08-18	S&P 500 inclusion effective, pre-open	Not confirmed by primary source — neither team cited an S&P announcement; both took it from press
2026-08-21	First measurement of whether the index buying has decayed	Our own checkpoint
2026-08-28	Second measurement	Our own checkpoint
2026-09-14	Chief Legal Officer Benjamin Lee departs; Paul Cappuccio expected to replace him	Confirmed — filed 8-K, 2026-08-12
2026-09-25	Lee's last day as an employee	Confirmed — same 8-K
2026-10-27	Our dated review; pull staged orders two sessions before the print	Our own checkpoint
2026-10-29	Q3 earnings	Not confirmed — derived from a data feed, no company announcement names it

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 119.27 (deck-provisional: 52-week low; proposed third tranche, not currently staged)

- filing watch: 8-K,PR until 2027-02-13 (deck-provisional: Google licensing renewal named with term and annual value - the hard pre-bid gate; ~\$130M of near-100%)
- dated pack RDDT-REVIEW|2026-10-27: STAGING-SWEEP 2026-08-05 (bands-rest-by-default doctrine). instr 117 (71@140) + 118 (78@128). Print 10-29: pull 2 sessions prior.
- dated pack RDDT|2026-08-18: RDDT: S&P 500 inclusion effective pre-open; forced index buying completes (date confirmed=False)
- dated pack RDDT|2026-08-21: RDDT: first measurement of index-flow decay at the close (date confirmed=True)
- dated pack RDDT|2026-08-28: RDDT: second measurement of index-flow decay at the close (date confirmed=True)
- dated pack RDDT|2026-09-14: RDDT: Chief Legal Officer Benjamin Lee departs; Paul Cappuccio expected to be appointed (date confirmed=True)
- dated pack RDDT|2026-09-25: RDDT: Lee's last day as a Reddit employee (date confirmed=True)
- dated pack RDDT|2026-10-27: RDDT: dated review pack RDDT-REVIEW; pull staged instructions 117 and 118 two sessions before the print (date confirmed=True)
- dated pack RDDT|2026-10-29: RDDT: Q3 2026 earnings - tests Other revenue growth, the ads guide of +47-49%, and the 2027 licensing commitment table (date confirmed=False)

What remains unverified

- **Advertising deceleration — the whole thesis.** 94.7% of revenue, and we have no data verdict. Two tools failed. This alone caps our confidence.
- **The Google and OpenAI contract values (\$60M and \$70M).** Press-sourced only. They appear in no filing. The renewal risk is real; the size of it is not established.
- **Whether the Google renewal is a threat or leverage.** The 7/23 reporting says *Reddit* is weighing restricting Google's access — which reads more like pricing power than distress. Neither direction is established. It is an undated coin-flip with an unknown sign, which is why it belongs in a gate rather than a haircut.
- **The 30× multiple.** Inherited from the original brief and never independently justified by either team. Every price level in this deck moves proportionally if that number is wrong.
- **“About \$1.0B of trailing free cash flow.”** Asserted, not sourced, not reconstructible from the data we hold.
- **The S&P 500 inclusion date and the Q3 print date.** Both taken from secondary sources.
- **Whether the 8/14 insider sale was pre-scheduled.** The document was never retrieved.
- **Independent price and volume data.** Broker market-data calls were denied in this session. Every price in this deck comes from a single free data feed. No trading-volume check was done, so we do not know whether our proposed order sizes are small relative to daily volume — though at roughly \$10K per tranche this is almost certainly not a constraint.

Primary sources: [10-Q for the quarter ended 2026-06-30](#) · [Q2 2026 earnings release, Exhibit 99.1](#) · [8-K filed 2026-08-12, Chief Legal Officer transition](#). Note: direct SEC fetches returned 403 in this session; both teams retrieved the 10-Q through a proxy, so the quoted figures are one hop removed from the source and should be re-pulled directly before any capital is committed.

```
{"price_gates": [{"level": 178.09, "direction": "above", "basis": "8/14 index-announcement high; a move back above this closes the entry window entirely"}, {"level": 140.03, "direction": "below", "basis": "top of fair-value range: 30x H1'26 actual FCF-less-SBC annualized flat ($805M) + $2.79B net cash / 192,396,510 shares"}, {"level": 136.20, "direction": "below", "basis": "bottom of fair-value range: 30x brief's $780M estimate + $2.79B net cash / 192,396,510 shares; reprice instruction 117 here"}, {"level": 128.00, "direction": "below", "basis": "staged instruction 118; first level with ~6% cushion below the conservative fair-value gate"}, {"level": 119.27, "direction": "below", "basis": "52-week low; proposed third tranche, not currently staged"}], "event_gates": [{"forms": ["8-K", "PR"], "why": "Google licensing renewal named with term and annual value - the hard pre-bid gate; ~$130M of near-100%-margin revenue is on an undated renewal clock"}, {"forms": ["10-Q"], "why": "Q3 remaining-performance-obligation table; 2027 committed licensing above $100M clears the renewal gate as an alternative to a renewal announcement"}, {"forms": ["8-K", "10-Q"], "why": "release of the deferred-tax valuation allowance - produces a one-time non-cash earnings jump then a permanent step to a ~23% tax rate worth ~$180M/yr of real cash"}, {"forms": ["8-K"], "why": "Item 5.02 confirming Paul Cappuccio as Chief Legal Officer; departure of the top lawyer on 9/14 coincides with the licensing renegotiations"}, {"forms": ["4", "144"], "why": "insider sales dated after the 8/18 index effective date would distinguish pre-scheduled selling from opportunistic distribution; also retrieve Form 144 accession 0001950047-26-008162"}], "catalyst_dates": [{"date": "2026-08-18", "what": "S&P 500 inclusion effective pre-open; forced index buying completes", "confirmed": false}, {"date": "2026-08-21", "what": "first measurement of index-flow decay at the close", "confirmed": true}, {"date": "2026-08-28", "what": "second measurement of index-flow decay at the close", "confirmed": true}, {"date": "2026-09-14", "what": "Chief Legal Officer Benjamin Lee departs; Paul Cappuccio expected to be appointed", "confirmed": true}, {"date": "2026-09-25", "what": "Lee's last day as a Reddit employee", "confirmed": true}, {"date": "2026-10-27", "what": "dated review pack RDDT-REVIEW; pull staged instructions 117 and 118 two sessions before the print", "confirmed": true}, {"date": "2026-10-29", "what": "Q3 2026 earnings - tests Other revenue growth, the ads guide of +47-49%, and the 2027 licensing commitment table", "confirmed": false}], "immediate_entry": null}
```